

Q: Define the main elements (عناصر) of economic development.

Q: "Economic development is a process (عمل) whereby an economy's real national income (حقیقی قومی آمدنی) increases over a long period". Explain? PU(1990,92,94), BZU(1995)1996

Ans: Difference between Economic growth & Economic **DEVELOPMENT.** (معاشی پیداوار اور معاشی ترقی میں فرق)

Generally both the terms " economic development" and economic growth" are used in the same (ایک ہی معنوں میں) sense. But according to some economists (معیش دان) there is some difference in these two words.

Economic growth means an increase in out put per unit of input. If the rate of out-put is higher than the rate of input, we can say that production is increasing or our economic g:

Economic development means changes in the structure of economy (معیشت کا ڈھانچہ) and changes in the sociological (معاشرتی) cultural (ثقافتی) political (سیاسی) and in the administrative (انتظامی) set up. Growth and development go side by side (ساتھ ساتھ چلنا). So economic development is growth plus (جمع) changes.

DEFINITIONS:

MAIR AND BALDWIN has defined economic development in the following words.

"As the process (عمل) whereby an economy's real national income (حقیقی قومی آمدنی) increases over a long period of time and if the rate of development is greater than per capita real income (حقیقی فی کس آمدنی) will increase".

KINDLE BERGER SAYS",

"Economic development implies both more output and changes in the technical and institutional arrangements (ادارتی انتظام) by which it is produced and distributed (تقسیم کرنا).

ELEMENTS OF DEVELOPMENT

(معاشرتی ترقی کے عناصر)

Following are the important elements of economic development, contained in the various definitions.

1. ECONOMIC DEVELOPMENT IS A PROCESS

(عمل)

Economic development is a process which brings many changes. Due to these changes national income increases. There are two kinds of changes:

Changes in the Supply Sector:

i) DISCOVERY (دریافت) OF ADDITIONAL RESOURCES.

New resources like Coal, Gas and Oil can be discovered under the process of economic development which are very useful for the economic development.

ii) INCREASE IN CAPITAL ACCUMULATION.

(تشکیل سرمایه)

Under the process of economic development rate of investment and rate of production increases. Which indicates that country is on the path of development.

iii) POPULATION GROWTH (افزایش آبادی):

Under the process of economic development rate of population growth begins to fall and per capita income of the country starts increasing.

v) INTRODUCTION OF BETTER TECHNIQUES:

In the process of production new machines (مشینیں) and latest technology is introduced, Which improves the quality and quantity of the product.

(متعارف کرنا)

v) IMPROVEMENT IN SKILL (مہارت میں اضافہ):

We can also find the technical skill in the manpower (افرادی قوت) as economic development takes place. Skilled and qualified Labour increases which helps in boosting the economy.

vi) CHANGES IN THE INSTITUTIONAL ARRANGEMENTS: (ادارتی انتظام میں تبدیلیاں)

Under the process of economic development we can also find some changes in the institutional arrangements. Democratic (جمہوری)

institutions (ادارے) are established and people begins to think on democratic lines. We may also find a positive change in the political structure of the country. Peoples participation in economic affairs also increses.

Changes in the Demand Sector:

i) AGE COMPOSITION OF POPULATION CHANGES.

As the development process starts the earning and independent age group of population increases, While dependent age group population falls.

ii) LEVEL OF INCOME INCREASES:

(آمدنی کی سطح میں اضافہ)

The level of national income also increases with the development. It is the main indicator for economic development.

iii) **DISTRIBUTION OF INCOME:** (تقسیم آمدنی)

The methods of income distribution changes. All the factors of production (Land, Labor, Capital, organization) get the proper reward.

iv) **CHANGES IN LIKES & DISLIKES:** (پسند اور ناپسند)

Under the process of economic development the likes and dislikes of the people changes. We may analyse early in various countries, even there is a change in eating and drinking.

2. **HIGHER RATE OF DEVELOPMENT:-**

(ترقی کی اونچی شرح)

It is necessary that rate of development should remain higher than the rate of population growth. If the rate of population growth is higher than rate of development can not rise.

3. **INCREASE IN REAL INCOME:**

(حقیقی قومی آمدنی میں اضافہ)

Under the process of economic development real national income and per capita income increases over a long period of time (عرصہ). In the short period fluctuation

(اتار چڑھاؤ) may occur (وقوع پذیر) in the economy but in the long run there should be persistent rise.

4. **REDUCTION IN POVERTY:** (غریب میں کمی)

Due to economic development, there should be a reduction in poverty. If there is no reduction of mass poverty then there is no development.

5. PROVISION OF BASIC NECESSITIES:

(بنیادی ضروریات)

Food, housing, health and clothing facilities should be available to the people in the country. If there is no improvement in these facilities then it can not be called economic development.

6. PARTICIPATION (شرکت) OF THE PEOPLE:

There should be greater participation of the people in making decisions for improving (بہتر بنانا) the welfare. Without active participation of the people economic development is not possible.

7. ORGANIZATION (تکلیف) OF THE ECONOMY:

Economy is organised in such a manner (اس انداز سے) which increases production and employment for the public. If it can not generate the employment and production then it cannot be called economic development.